

Distinctions Between Investment and Speculation

General Connotations of the Term “Investment.” Investment or investing, like “value” in the famous dictum of Justice Brandeis, is “a word of many meanings.” Of these, three will concern us here. The first meaning, or set of meanings, relates to putting or having money in a business. A man “invests” \$1,000 in opening a grocery store; the “return on investment” in the steel industry (including bonded debt and retained profits) averaged 2.40% during 1929–1938.¹ The sense here is purely descriptive; it makes no distinctions and pronounces no judgments. Note, however, that it accepts rather than rejects the element of risk—the ordinary business investment is said to be made “at the risk of the business.”

The second set of uses applies the term in a similar manner to the field of finance. In this sense all securities are “investments.” We have investment dealers or brokers, investment companies² or trusts, investment lists. Here, again, no real distinction is made between investment and other types of financial operations such as speculation. It is a convenient omnibus word, with perhaps an admixture of euphemism—*i.e.*, a desire to lend a certain respectability to financial dealings of miscellaneous character.

Alongside of these two indiscriminate uses of the term “investment” has always been a third and more limited connotation—that of investment as opposed to speculation. That such a distinction is a useful one

¹ *Dollars Behind Steel*, pamphlet of American Iron and Steel Institute, New York, 1939.

² Note that in October 1939 the S.E.C. listed under the title of “Investment Company” the offering of stock of “The Adventure Company, Ltd.,” a new enterprise promoted by “The Discovery Company, Ltd.” The fact that 1¢ par value stock was offered at \$10 per share, although not really significant, has a certain appropriateness.